These guidelines barred any individual who ceases to be an employee of Tata Sons from continuing as a non-executive director in Tata companies. Mistry was replaced on 24 October as chairman, Tata Sons, and hence had ceased to be an employee of the holding company. He was duty-bound to step down not only as chairman, but also as director. Though he had played an active role in the adoption of the Governance Guidelines and had recommended it to the various Tata companies. Mistry declined to step down. He said, 'No. I will not. I will not step down as chairman,' Hussain recalls Mistry as saying. But he categorically refused. He continued to chair and participate when the board discussed items concerning him. He was defiant and unrelenting in his effort to continue as chairman, recalls T.V. Narendran, the CEO and MD of Tata Steel. On 22 November, Tata Sons issued a special notice and requisition for Tata Power to hold its EGM. In the notice, the negative consequences that companies and their shareholders would suffer if Mistry continued to be at its helm were underscored.

Tata Sons, which had a 31.05 per cent stake in Tata Power, also averred in the notice that if the latter severed its relations with its promoter, Tata Sons, it would be visited by several adverse consequences. In the earlier special notices issued to companies for holding EGMs, there was only a hint that each of them was tied to the promoter company through a Tata BEBP. Such arrangements entitled companies to different rights. It included the rights to use the Tata name and symbol according to the nature of the agreement— 'A Tata Enterprise' in the case of IHCL and the 'Tata' brand that includes the right to use the Tata emblem in the case of the others (TCS, Tata Steel, Tata Chemicals, Tata Power and Tata Motors).

This time, the special notice to Tata Power drew attention to the 'Letter of Offer dated 19 March 2014 for the Rights Issue of Equity Shares'. The letter had stated that Tata Sons can terminate its BEBP Agreement by giving 'six months written notice for reasons to be recorded'. It also added that the use of the Tata brand can never be guaranteed in the future and in case of termination, the 'brand value' would be lost and result in the 'diversion of management time into rebuilding and restoring its reputation which could have a material adverse effect' on the company's 'business, financial condition' amongst others. The notice also reiterated Mistry's obligation to resign from the boards of all Tata Group companies, under the provisions of the Tata Governance Guidelines, consequent upon him ceasing to be an employee of Tata Sons. With Tata Sons requisitioning Tata Power to hold its